

PAYTM × LIMINAL CUSTODY SOLUTIONS

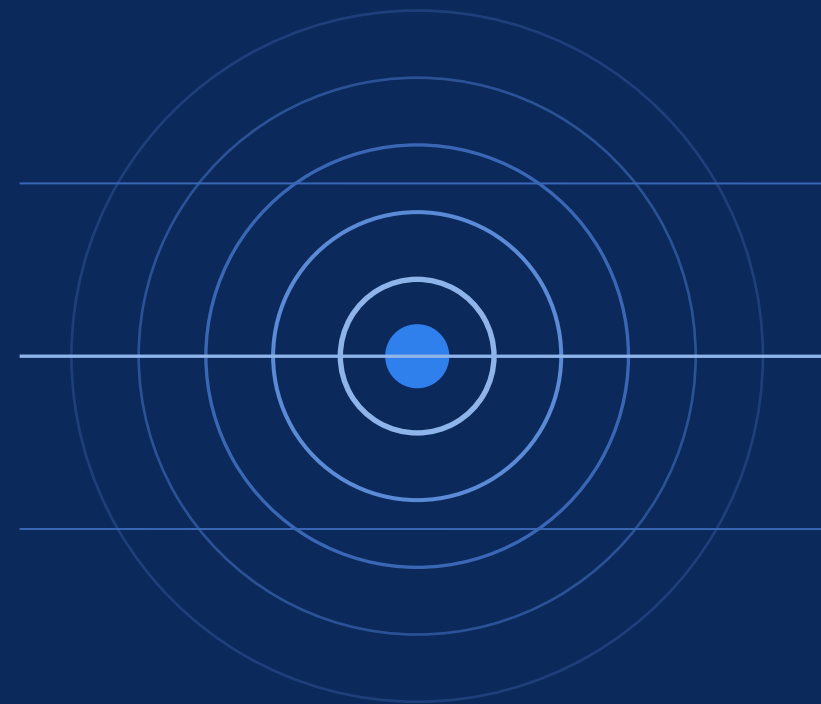
PROJECT SATOSHI GATE

BOARD TRANSACTION RECOMMENDATION

Strategic access today. Control only when the economics are proven.

TEAM ETERNAL

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BOARD RECOMMENDATION

Secure the capability — not the full-control risk

RECOMMENDATION

Do not acquire 100% of Liminal today.

Pursue a 20–30% strategic minority investment, anchored at 25% as a midpoint team assumption, combined with:

Commercial custody/MPC partnership

Standalone governance

Pre-agreed call option for future control

Retention- and performance-linked future consideration

WHY THIS STRUCTURE

- Strategic fit is real: Liminal provides institutional custody and MPC infrastructure relevant to tokenized assets, e₹/CBDC infrastructure and cross-border settlement.
- Full control creates value leakage: the case assumes 30–45% ARR churn within 12 months after a full acquisition.
- Regulatory economics are severe: full ownership creates an assumed ₹750 Cr recurring annual FCF drag.
- Near-term earnings support is limited: Liminal is currently approximately PAT breakeven.
- Staging preserves optionality: Paytm secures strategic access while delaying irreversible control until customer and regulatory outcomes are observable.

BOARD ASK

INVEST

VALIDATE

EXERCISE / HOLD / WALK AWAY

Exercise control only after clearing all six gates:

Client Retention

Regulatory Capital

Valuation

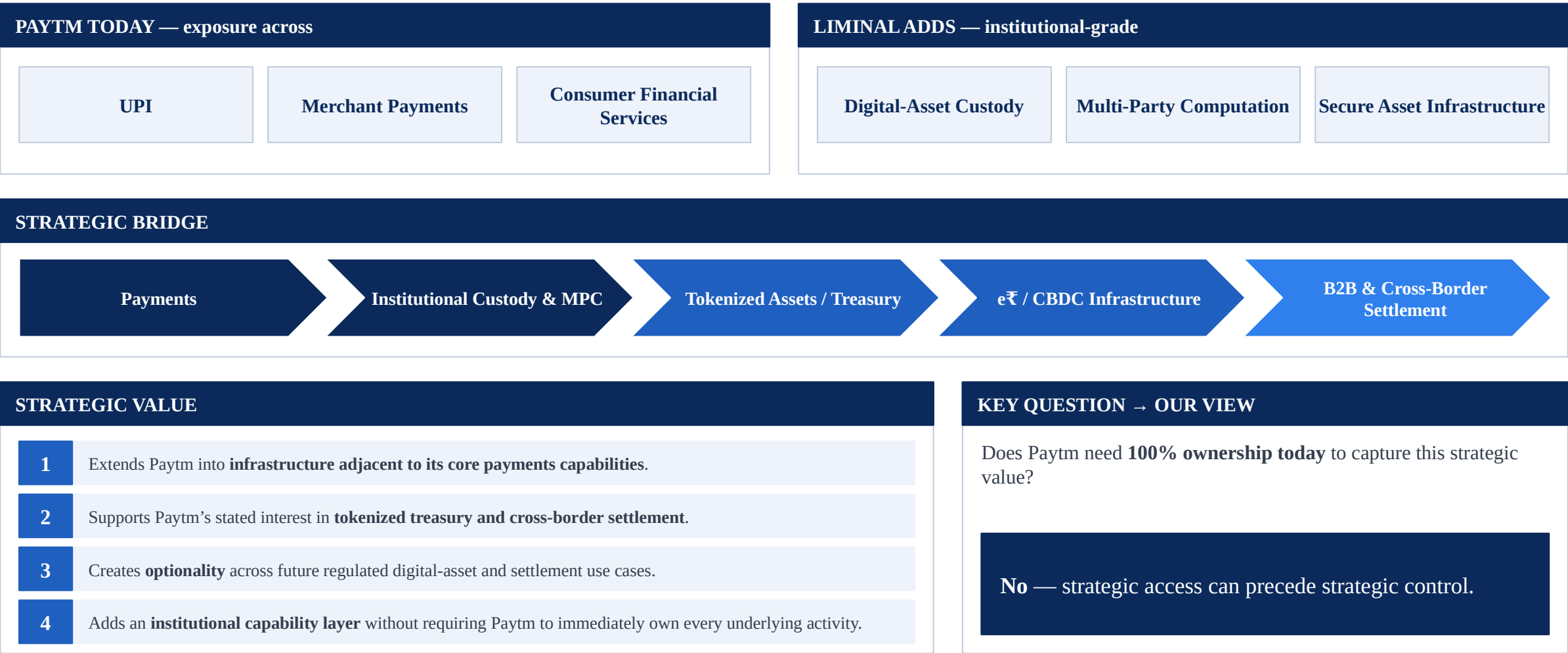
PAT

FCF

Compliance

STRATEGIC RATIONALE

Liminal can extend Paytm from payments into institutional digital settlement infrastructure



THE OWNERSHIP PARADOX

Full ownership risks impairing the very asset Paytm is paying to acquire

₹4,000 Cr FULL ACQUISITION CREATES FOUR IMMEDIATE PRESSURES

1. CUSTOMER CONFLICT	2. REGULATORY CAPITAL	3. FINANCIAL PRESSURE	4. VALUATION PRESSURE
Liminal’s major institutional clients may resist having their custody provider owned by a competing payments platform.	Full ownership is assumed to trigger bank-like reserves against custodied assets.	Liminal is currently approximately PAT breakeven.	Paytm pays ₹4,000 Cr ÷ ₹220 Cr ARR = 18.2× headline ARR before accounting for acquisition-driven churn.
CASE ASSUMPTION 30–45% ARR lost within 12 months	CASE ASSUMPTION ₹750 Cr recurring annual FCF drag	IMPLICATION Limited acquired earnings initially offset new-share dilution or financing costs.	MULTIPLE 18.2× headline ARR, pre-churn
CORE DEAL PARADOX		BOARD IMPLICATION — separate the two questions	
Paytm wants Liminal for its institutional franchise — but taking control may weaken that franchise.		Strategic attractiveness of Liminal	Economic attractiveness of owning 100% today

STRATEGIC OPTIONS

Four paths — assessed on strategic access, control, downside and reversibility

	FULL ACQUISITION	MINORITY STAKE	JOINT VENTURE	WALK AWAY
Strategic access	High	High through partnership	High within JV scope	Low
Control	Full	Limited	Shared	None
Full-control churn exposure	30–45% case assumption	Not specified — validate	Not specified — validate	None
₹750 Cr capital treatment	Case assumes applicable	Not specified — validate	Not specified — validate	None
Upfront commitment	Highest	Lower	Structure-dependent	Nil
Reversibility	Low	High	Medium	High
Future-control optionality	Already exercised	Can be preserved	Can be negotiated	Lost unless partnership retained

CONCLUSION

Minority + partnership + call option is the strongest starting structure because it defers the two largest unresolved risks:

Customer response

Regulatory capital treatment

DISCIPLINE

We do **not** assume minority ownership automatically eliminates churn or the ₹750 Cr capital requirement.

These become **validation gates**.

RECOMMENDED TRANSACTION ARCHITECTURE

Buy optionality first — pay for control only after uncertainty reduces

PHASE 1 — STRATEGIC ENTRY Team assumption: 25% stake as the midpoint of the permitted 20–30% range. If priced pro-rata to the ₹4,000 Cr headline value: Illustrative upfront investment = ₹1,000 Cr Proposed Phase-1 funding: • ₹1,000 Cr existing balance-sheet cash • No new debt • No new equity issuance • Paytm gross cash remains approximately ₹7,900 Cr before fees	+ COMMERCIAL PARTNERSHIP Secure contractual access to Liminal’s custody/MPC infrastructure for agreed Paytm use cases. + GOVERNANCE RING-FENCE Preserve operational, client-data and institutional independence. + PRE-AGREED CALL OPTION Paytm receives the right — not obligation — to acquire control after a defined validation period.	FUTURE-CONTROL PRICING PRINCIPLE Future consideration capped at the lower of: 1 Agreed headline valuation mechanics 2 Retained-ARR / performance-based value subject to: client retention regulatory capital treatment financial performance agreed valuation cap customary transaction adjustments
TRANSACTION LOGIC Pay for strategic access today. Pay for control only after the retained value is observable.		

CASE FACTS VS TEAM ASSUMPTIONS

Keep the model auditable: separate facts, calculations and assumptions

CASE FACTS — PAYTM		CASE FACTS — LIMINAL / DEAL		TEAM ASSUMPTIONS — with the values used in the model	
Metric	Value	Metric	Value	- Initial ownership: 25% midpoint - Indicative minority investment: ₹1,000 Cr pro-rata - Initial funding: existing cash (100%, no debt/equity) - Validation period: 12 months; option window months 12–24 - Minority/JV churn: 0% (client-consent gate) - Minority/JV regulatory capital treatment: nil (RBI gate; tested at ₹195 / ₹750 Cr) - Liminal ARR growth: 20% p.a. (bear 10%, bull 30%) - EBITDA / PAT / FCF margins: 0% → 25% (+5 pp/yr); PAT = 75% of EBITDA; FCF ≈ PAT - Debt cost and tax rate: 8.5% pre-tax; tax 25% - Cash yield foregone: 6.0% pre-tax - WACC / required return: 12%; terminal growth 5% - Integration costs: ₹100 Cr one-time; Phase-1 fees ₹15 Cr - Synergies: ₹0 in base case - MDR-to-PAT / FCF conversion: 80% × (1 – 25%) → ₹69 Cr/yr - Call-option mechanics: cap ₹3,000 Cr = ₹1,650 Cr upfront + ≤ ₹1,350 Cr earn-out (55–100% retained ARR) - Future-control valuation methodology: min(cap, 75% × 18.2× × retained ARR)	
Market capitalization	₹1,18,750 Cr	Headline acquisition value	₹4,000 Cr		
Diluted shares	64 Cr	Headline consideration	₹2,100 Cr cash + ₹1,900 Cr equity		
Cash	₹8,900 Cr	ARR	₹220 Cr		
Gross debt	₹350 Cr	Current PAT	~ breakeven		
Revenue	₹8,450 Cr	Four largest clients	60% of ARR		
EBITDA	₹640 Cr	Full-acquisition churn	30–45%		
PAT	₹480 Cr	Full-control capital drag	₹750 Cr annual FCF		
Diluted EPS	₹7.50	UPI MDR benefit to Paytm	₹115 Cr/year incremental net revenue		
Credit rating	CRISIL AA– Stable				

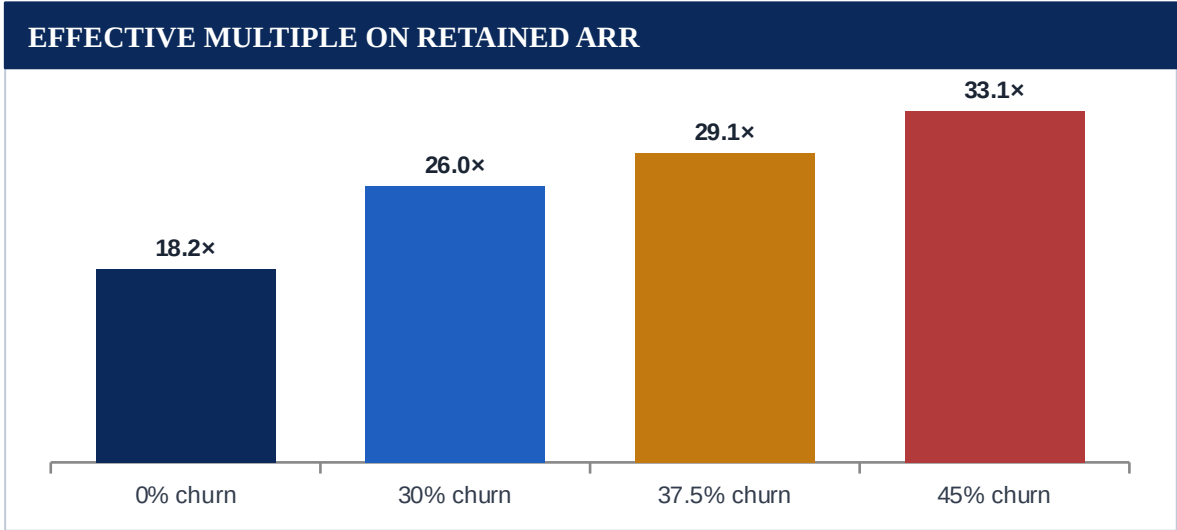
MODELING PRINCIPLE: CASE FACT ≠ DERIVED CALCULATION ≠ TEAM ASSUMPTION

Every material assumption must be disclosed and sensitivity-tested.

VALUATION & CHURN

18.2× headline ARR becomes 26–33× on retained ARR under full-control churn

HEADLINE VALUATION · ₹4,000 Cr ÷ ₹220 Cr ARR = 18.2× ARR			
Full-control churn	ARR lost	Retained ARR	₹4,000 Cr / Retained ARR
0%	₹0 Cr	₹220 Cr	18.2×
30%	₹66 Cr	₹154 Cr	26.0×
37.5%	₹82.5 Cr	₹137.5 Cr	29.1×
45%	₹99 Cr	₹121 Cr	33.1×



VALUE AT THE ORIGINAL 18.2× MULTIPLE		
Churn	Retained ARR	Implied value
30%	₹154 Cr	~₹2,800 Cr
37.5%	₹137.5 Cr	~₹2,500 Cr
45%	₹121 Cr	~₹2,200 Cr

REVENUE RECOVERY HURDLE		
After churn	Retained → original	Growth required
30%	₹154 Cr → ₹220 Cr	+42.9%
45%	₹121 Cr → ₹220 Cr	+81.8%
... just to recover the original ARR base		

STRUCTURING RESPONSE	
Deferred Consideration	Earn-Out
CVR	Retention-Linked Payout
KEY MESSAGE: Do not pay ₹4,000 Cr unconditionally for revenue that may disappear because of the acquisition itself.	

FINANCING & EPS IMPACT

Stage the capital commitment to protect liquidity, leverage and dilution

FULL-ACQUISITION COUNTERFACTUAL		
Headline consideration		
₹2,100 Cr cash + ₹1,900 Cr equity		
If ₹2,100 Cr is funded entirely from existing cash:		
Cash	Before	After
Balance-sheet cash	₹8,900 Cr	₹6,800 Cr
Illustrative equity dilution		
Step	Value	
Implied Paytm share price (₹1,18,750 Cr ÷ 64 Cr)	≈ ₹1,855/share	
₹1,900 Cr equity consideration	≈ 1.02 Cr new shares	
Pro-forma diluted shares	≈ 65.02 Cr	
EPS if PAT remains ₹480 Cr	≈ ₹7.38 vs ₹7.50 baseline	

MECHANICAL DILUTION
≈ 1.6%
mechanical EPS dilution: ₹7.38 vs ₹7.50 baseline
...before:
- financing costs - acquired earnings - synergies - integration costs - other transaction effects
BOARD MESSAGE Financing should follow risk resolution — not precede it.

RECOMMENDED PHASE-1 STRUCTURE

Illustrative ₹1,000 Cr cash investment for 25%

Item	Phase 1
Cash remaining	~₹7,900 Cr
New debt	Nil
New shares	Nil
Immediate share-count dilution	Nil

FUTURE-CONTROL FINANCING PRINCIPLE

Do not pre-commit the full financing mix today. At exercise:

- preserve sufficient liquidity
- protect rating headroom
- cap leverage
- avoid excessive equity dilution
- use contingent consideration where value remains uncertain

PAT & FCF BREAKEVEN

The deal must clear two separate hurdles: accounting accretion and cash-flow viability

1. ACCOUNTING / PAT TEST		2. CASH / FCF TEST		CRITICAL DISTINCTION — THE ₹115 Cr UPI MDR	
Incremental PAT = Liminal PAT + Realized operating synergies – Financing costs – Integration / operating costs – Other incremental expenses Pro-Forma EPS = Pro-Forma PAT ÷ Diluted Shares		Incremental FCF = Liminal FCF + Realized cash synergies + Applicable MDR cash contribution – ₹750 Cr capital drag – Integration / other cash costs Starting position: Liminal ≈ PAT breakeven → limited acquired earnings to offset dilution or financing costs		The ₹115 Cr UPI MDR benefit is incremental Paytm net revenue. It is: • not automatically ₹115 Cr PAT • not automatically ₹115 Cr FCF • not created by acquiring Liminal Treatment: model it separately as a Paytm standalone corporate benefit / offset, using an explicit revenue-to-PAT / FCF conversion assumption (80% × (1 – 25%) → ₹69 Cr/yr; covers 15% of the drag gross, 9% after conversion).	
BREAKEVEN RESULTS FROM THE TRANSACTION MODEL (TA base: 20% ARR growth, margins to 25%, 6% cash yield, ₹750 Cr drag; MDR excluded as it is not deal-driven)					
Scenario	Year-1 EPS (₹)	PAT / EPS breakeven	Annual FCF breakeven	Cumulative cash by Y10 (₹ Cr)	
Minority phase — 25% for ₹1,000 Cr	6.84 (–8.9%)	Associate income covers foregone interest in Y9; EPS-dilutive by foregone cash yield only	Not achieved without dividends (–₹45 Cr/yr foregone interest)	(1,450) — recovered through equity value / exit, not cash yield	
Full control — 0% churn	6.08 (–18.9%)	Year 5	Not within 10 years	(9,481)	
Full control — 30% churn	5.46 (–27.2%)	Year 7	Not within 10 years	(9,867)	
Full control — base 37.5% churn	5.29 (–29.4%)	Year 8	Not within 10 years	(9,965)	
Full control — 45% churn	5.13 (–31.6%)	Year 8	Not within 10 years	(10,062)	
WHAT THE CASE DOES NOT PROVIDE FOR LIMINAL		CONTROL-EXERCISE RULE			
FCF · margins · capex · working capital · growth · financing costs → a specific breakeven year is assumption-driven and sensitivity-tested (values above).		Do not exercise control until the model demonstrates credible PAT / EPS breakeven + credible FCF breakeven after regulatory capital requirements.			

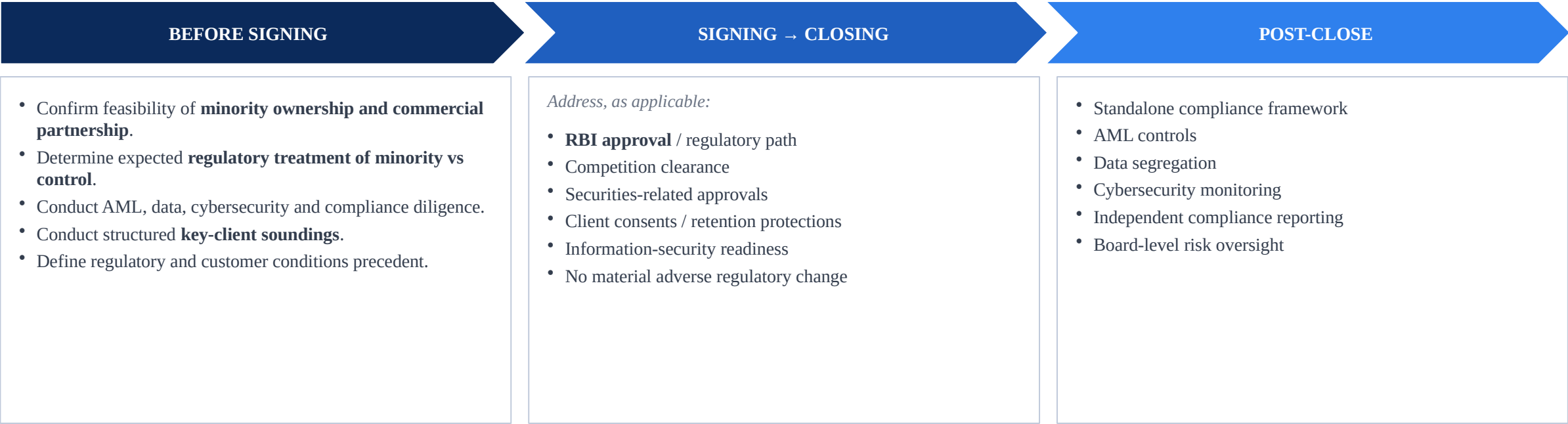
CUSTOMER RETENTION & GOVERNANCE

Protect the institutional franchise through structural independence

CONCENTRATION RISK		GOVERNANCE ARCHITECTURE		
60% • HDFC Bank • Axis Bank • CoinDCX • ZebPay = 60% of Liminal ARR = ₹132 Cr of ₹220 Cr		#	Mechanism	What it does
Full-control churn assumption ₹66–99 Cr ARR lost equivalent to approximately 50–75% of the ARR represented by the four largest relationships		1	Standalone Liminal brand	Preserve institutional neutrality.
		2	Arm’s-length board	Independent directors + clearly defined reserved matters.
		3	Strict information barriers	No unrestricted Paytm access to client-sensitive custody or transaction data.
		4	Independent compliance & cybersecurity oversight	Separate monitoring, escalation and reporting.
		5	Neutral service standards	No preferential treatment for Paytm-linked activity.
		6	Client-protection framework	Structured communication, consent and change-of-control management.
CORE MESSAGE: Governance is not cosmetic — it is a valuation-protection mechanism.		7	Retention-linked consideration	Align seller economics with preservation of the institutional franchise.

REGULATORY & CLOSING ARCHITECTURE

Resolve regulatory capital treatment before committing to control



MOST IMPORTANT UNRESOLVED QUESTION

Does minority ownership **avoid, reduce or still trigger** the ₹750 Cr capital requirement?

The case does not specify the answer.

HARD DECISION GATE

Do **not** exercise full control until regulatory capital treatment is **known and incorporated into the FCF model**.

COMPETITIVE & DOWNSIDE RESPONSE

Strategic urgency must not become a winner’s curse

PHONEPE–MASTERCARD THREAT

The exploratory consortium creates a **strategic opportunity cost** if Paytm walks away. However, the case provides:

- no competing valuation
- no competing transaction terms
- no quantified bidder synergies
- no certainty of completion

PAYTM RESPONSE

Do not automatically match a higher bid.

Set a risk-adjusted reservation value based on:

retained ARR

capital treatment

client retention

financing impact

PAT / FCF economics

strategic optionality

If another bidder exceeds Paytm’s reservation value: **walk away** rather than destroy shareholder value.

BOARD PRINCIPLE

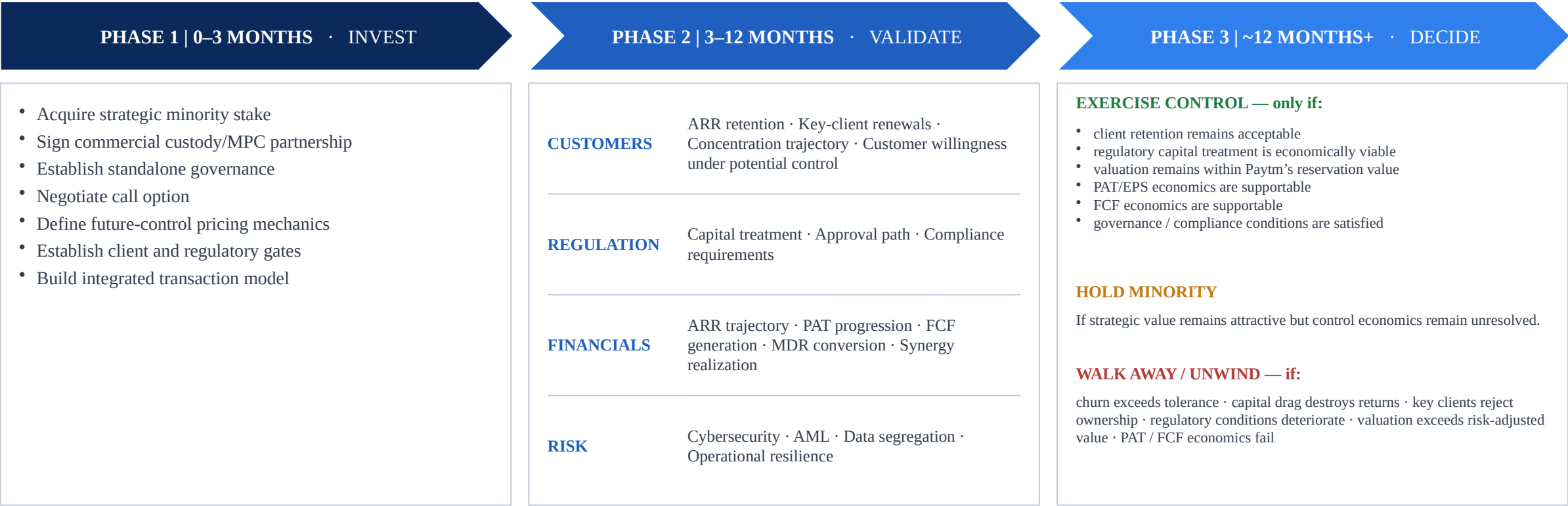
Competitive pressure may change **timing** — it should **not** change valuation discipline.

DOWNSIDE PLAYBOOK

Trigger	Response
Churn > 45%	Do not exercise control / activate price protection / reassess partnership.
Capital requirement unacceptable	Remain minority / restructure / exit.
Key clients resist	Strengthen ring-fence; no control exercise without acceptable retention.
Paytm share price compresses	Avoid fixed-value equity issuance that creates excessive dilution.
PAT / FCF case fails	Do not escalate capital because of sunk cost.
Regulatory / security conditions fail	Suspend exercise / terminate where contractual rights permit.

IMPLEMENTATION ROADMAP & DECISION GATES

Invest → Validate → Exercise / Hold / Walk Away



FINAL BOARD MESSAGE	Paytm should not pay today for risks it can observe tomorrow. Secure Liminal’s strategic infrastructure through a minority investment and commercial partnership . Preserve the right — not obligation — to acquire control. Commit the remaining capital only after client trust, regulatory capital treatment, valuation and cash-flow economics are proven . Strategic access now. Control only when value is protected.
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APPENDIX A1–A2

Transaction model key inputs · Churn sensitivity

A1 · PAYTM		A1 · LIMINAL & RISKS		A2 · CHURN SENSITIVITY			
Input	Value	Input	Value	Churn	ARR lost	Retained ARR	Effective multiple
Market capitalization	₹1,18,750 Cr	Headline value	₹4,000 Cr	0%	₹0 Cr	₹220 Cr	18.2×
Diluted shares	64 Cr	ARR	₹220 Cr	30%	₹66 Cr	₹154 Cr	26.0×
Cash	₹8,900 Cr	Headline multiple	18.2× ARR	37.5%	₹82.5 Cr	₹137.5 Cr	29.1×
Gross debt	₹350 Cr	Current PAT	~ breakeven	45%	₹99 Cr	₹121 Cr	33.1×
Revenue	₹8,450 Cr	Top-four-client concentration	60%	RECOVERY HURDLE +42.9% 30% churn: ₹154 Cr → ₹220 Cr +81.8% 45% churn: ₹121 Cr → ₹220 Cr Growth required <i>merely to recover the original ARR base.</i>			
EBITDA	₹640 Cr	ARR churn (full control)	30–45%				
PAT	₹480 Cr	Capital FCF drag (full control)	₹750 Cr/year				
EPS	₹7.50	PAYTM CORPORATE OFFSET UPI MDR: ₹115 Cr/year incremental net revenue. Not a Liminal transaction synergy.					
Rating	CRISIL AA– Stable						

APPENDIX A3–A4

Retention-linked value framework · EPS / dilution bridge

A3 · RETENTION-LINKED VALUE — at the original 18.2× ARR multiple

Churn	Retained ARR	Implied value	Value gap vs ₹4,000 Cr
0%	₹220 Cr	₹4,000 Cr	—
30%	₹154 Cr	~₹2,800 Cr	~₹1,200 Cr
37.5%	₹137.5 Cr	~₹2,500 Cr	~₹1,500 Cr
45%	₹121 Cr	~₹2,200 Cr	~₹1,800 Cr

STRUCTURING PRINCIPLE

Upfront consideration = strategic access

Contingent consideration = retained economic value

Future-control price should remain subject to:

valuation cap

retained ARR

performance

regulatory outcome

A4 · EPS / DILUTION BRIDGE — full-acquisition illustration

Step	Value
Implied Paytm share price: ₹1,18,750 Cr ÷ 64 Cr	≈ ₹1,855
₹1,900 Cr equity consideration	≈ 1.02 Cr new shares
Pro-forma diluted shares	≈ 65.02 Cr
EPS, assuming PAT remains ₹480 Cr	≈ ₹7.38
Baseline EPS	₹7.50
Approximate mechanical dilution	~1.6%

...before:

financing expense

acquired earnings

synergies

integration costs

other transaction effects

APPENDIX A5

PAT vs FCF breakeven

ACCOUNTING / PAT	CASH / FCF
Component Liminal PAT + Synergies – Financing costs – Integration / operating costs = Incremental PAT ↓ Pro-Forma EPS	Component Liminal FCF + Cash synergies + Applicable MDR cash contribution – ₹750 Cr capital drag – Integration cash costs = Incremental FCF

KEY RULE

PAT breakeven ≠ FCF breakeven. Both must be demonstrated **independently** before exercising full control.

APPENDIX A6–A7

Risk register & mitigants · Board decision tree

A6 · RISK REGISTER & MITIGANTS		A7 · BOARD DECISION TREE	
Risk	Transaction response	STEP 1	Is Liminal strategically valuable to Paytm? YES ↓
30–45% full-control churn	Minority first + retention-linked consideration	STEP 2	Can Paytm secure strategic access without immediate full control? YES — Minority + Commercial Partnership ↓
60% top-client concentration	Standalone governance + client protections	STEP 3	Are client retention and regulatory capital outcomes acceptable after validation? YES → Test valuation + PAT + FCF economics NO → Hold minority / restructure / exit
₹750 Cr annual capital drag	Regulatory gate before control	STEP 4	Does full control clear Paytm’s risk-adjusted financial and governance hurdles? YES → Exercise call option NO → Do not acquire control
18.2× headline valuation	Retained-value pricing + valuation cap	END STATE: Control becomes an earned option — not a day-one commitment.	
Immediate equity dilution	Stage consideration; avoid Phase-1 issuance		
Rating / leverage pressure	No Phase-1 debt; reassess at control exercise		
PhonePe–Mastercard counterbid	Reservation value + walk-away discipline		
Paytm stock compression	Avoid excessive fixed-value equity dilution		
AML / data / cyber risk	Independent compliance + information barriers		
>45% churn	No control exercise / remediation / unwind		
Regulatory deterioration	Condition precedent / termination protection		
Weak PAT / FCF economics	Do not escalate capital		

APPENDIX A8

Full-control funding envelope · Commercial partnership terms

A8 · FULL-CONTROL FUNDING CASES — year-1 EPS from the ₹7.50 baseline (team assumptions: 6% cash yield, 8.5% debt, 25% tax, 37.5% churn)

Funding case (₹ Cr)	Cash remaining	Gross debt	New shares (Cr)	Y1 EPS	vs ₹7.50	Gross debt / EBITDA
Case mix: 2,100 cash + 1,900 equity	6,800	350	1.02	₹5.29	−29%	0.5×
Mix: 1,400 cash + 700 debt + 1,900 equity	7,500	1,050	1.02	₹5.09	−32%	1.6×
All equity 4,000	8,900	350	2.16	₹6.63	−12%	0.5×
2,100 debt + 1,900 equity	8,900	2,450	1.02	₹4.69	−38%	3.8× — breaches
All cash 4,000	4,900	350	—	₹4.04	−46%	0.5×
Share-count-only view of case mix	6,800	350	1.02	₹7.38	−1.6%	0.5×

Preferred funding envelope if control is eventually exercised: cash ≤ ₹1,400 Cr, new debt ≤ ₹700 Cr (gross debt / EBITDA ≤ 1.5×), balance in contingent equity via the earn-out; liquidity floor ₹5,000 Cr; never an unconditional ₹4,000 Cr.

A8 · COMMERCIAL PARTNERSHIP — RIGHTS SECURED WITHOUT CONTROL

- **Custody / MPC access** for agreed Paytm use cases: tokenized treasury, e₹ / CBDC settlement, cross-border
- **Service-level standards** identical to third-party institutional clients
- **Pricing framework** at arm’s length, benchmarked annually
- **Data segregation:** no automatic Paytm access to client data or key material
- **Duration / renewal:** multi-year term co-terminous with the option window
- **Termination rights** on change of control of either party, regulatory prohibition or material breach

HOW TO READ

Equity is the least EPS-dilutive currency at Paytm’s ~247× trailing P/E, but a fixed-value issuance is exposed to share-price compression; debt-funding the cash leg breaches rating headroom; an all-cash deal breaches the liquidity floor. No mix rescues a full acquisition today — which is why the recommendation stages the capital and pays the control tranche only against retained ARR.

APPENDIX A9

Independent valuation cross-check · Call-option strike

A9 · INDEPENDENT VALUATION CROSS-CHECK — standalone DCF (team assumptions: 12% WACC, 5% terminal growth, margin → 25%, no churn, no drag)			
Liminal ARR growth, 10 years	DCF value (₹ Cr)	Multiple of ARR	Supports ₹4,000 Cr?
10% (bear)	811	3.7×	No
20% (base)	1,753	8.0×	No
30% (bull)	3,658	16.6×	No
31.3% — break-even growth	4,000	18.2×	Only with zero churn and no drag
40%	7,345	33.4×	Yes

Cross-check	Value
Headline offer	₹4,000 Cr
Standalone DCF, base case	₹1,753 Cr
Implied premium of headline over base DCF	+128%
WACC 11% / 14% (base growth)	₹2,127 Cr / ₹1,265 Cr
10-year NPV of ₹750 Cr drag at WACC	₹4,238 Cr — exceeds the price on its own

Conclusion: 18.2× is supportable only if Liminal compounds at ~31% for a decade with zero churn and no capital drag. The valuation is therefore acceptable only as a cap reached through retained ARR, never as an unconditional price.

A9 · CALL-OPTION STRIKE — precise mechanics				
Control price = min(₹3,000 Cr cap , 75% × 18.2× × retained ARR) paid as ₹1,650 Cr at exercise + earn-out ≤ ₹1,350 Cr, linear between 55% and 100% retained ARR (measured at month 18 post-control)				
Post-control churn	Retained ARR	Earn-out	Control price	Total incl. Phase 1
0%	100%	₹1,350 Cr	₹3,000 Cr	₹4,000 Cr
20%	80%	₹750 Cr	₹2,400 Cr	₹3,400 Cr
30%	70%	₹450 Cr	₹2,100 Cr	₹3,100 Cr
45%	55%	₹0	₹1,650 Cr	₹2,650 Cr
>45%	<55%	₹0	₹1,650 Cr floor — no exercise	—

- Adjusted for **regulatory outcome**: no exercise unless written capital treatment is incorporated into the FCF model
- Adjusted for **performance**: PAT and FCF breakeven demonstrated before exercise
- Valuation cap** never exceeded: maximum total consideration = headline ₹4,000 Cr; maximum unconditional = ₹1,000 Cr
- Earn-out settled in Paytm shares within a collar, or cash at Paytm’s election